

[FOUNDER TOOLKIT] FUNDRAISING & CAPITAL TOOLKIT

Raising money / is a means.

A raise is not a milestone — it's an **obligation** you take on to buy speed. This is how to decide whether to raise at all, structure the round without surprising yourself later, and run the process from a position of strength.

HOW TO READ THIS TOOLKIT

Three layers / one decision chain.

Fundraising goes wrong when founders skip straight to the pitch. Work it in order: first decide **whether and when** to raise at all; then understand the **instruments** so you know what you’re signing; only then **run the process**. Most expensive mistakes happen because a later step was taken before the one above it.

LAYER 1	Should you? Whether & when The decision to raise	Raise or bootstrap · default alive vs. dead · how much to raise
LAYER 2	On what terms? The instruments How capital is structured	The capital stack & sources · SAFEs & dilution · non-dilutive capital
LAYER 3	How? Running the raise Process & aftermath	The raise as a process · choosing investors · after the check

LAYER 1 • SHOULD YOU?

Whether / & when to raise.

Venture capital is not free money and it is not validation — it is a commitment to a particular, high-growth path. Before terms or pitches, decide honestly whether that's the company you're building, and whether now is the moment.

Raise or bootstrap

Default alive vs. dead

How much to raise



TOOL 1.1 · RAISE OR BOOTSTRAP

Raise / or bootstrap

The first fundraising decision is whether to fundraise at all. VC buys speed in exchange for control and a commitment to a very large outcome. Bootstrapping keeps both — and caps your pace.

— WHAT IT IS

Raising venture capital is a commitment to build a company that can **grow ~10x every 18 months** toward a large exit — “investors buy growth, not stability.” It buys speed and a network, but costs equity, control, and optionality. **Bootstrapping** (self-funding through savings and revenue) keeps full ownership and pace control, but caps how fast you can move. The right answer depends on the **size and urgency of the opportunity**: capital-intensive, winner-take-most markets favour raising; capital-efficient ones often don’t.

— THE QUESTIONS IT ANSWERS

- ◇ Does this opportunity actually **need** venture scale and speed?
- ◇ Am I prepared to commit to a **10x growth path** and an exit?
- ◇ Is the market **winner-take-most**, or can I win slowly?
- ◇ Am I raising because I need it — or because it feels like **validation**?

— WHAT "GOOD" LOOKS LIKE

- ✓ A conscious choice matched to the opportunity
- ✓ Clear-eyed about the growth commitment VC requires
- ✓ Bootstrapping treated as legitimate, not failure
- ✓ The decision serves the company, not the ego

— WHAT NOT TO DO — AND WHY

Raising because it feels like success. Fundraising is a means, not a milestone — and announcing a round is not the same as building a business. Founders who raise for validation take on board members, dilution, and a growth obligation they didn’t need, narrowing their options precisely when flexibility matters most. Stripe and Canva raised because the opportunity *demand*ed speed; that’s the test, not the press release.

Patrick Connolly

— THE TRADE-OFF

RAISE (VC) Speed + network, less control, 10x obligation

BOOTSTRAP Full control + pace, capped speed

“Investors buy growth,
not stability.”

■ AEGIS EO

Aegis genuinely needed to raise: EO-for-insurance is capital-intensive (imagery licensing, compliance engineering) and the window to become the default workflow before a competitor does is real. The Munich Re pilot gave them the **evidence to raise from strength** rather than hope — so the raise served a clear, urgent opportunity, not a need to look legitimate.

TOOL 1.2 · DEFAULT ALIVE VS. DEAD

Default alive / vs. default dead

One test cuts through fundraising anxiety: on your current cash and growth, do you reach profitability before the money runs out? Knowing the answer changes how — and whether — you raise.

— WHAT IT IS

Graham's test: holding expenses constant, will your current cash and growth get you to profitability before you run out? If yes, you're **default alive**; if no, **default dead**. A startup can be **ramen profitable** — covering the founders' modest living costs — long before it's comfortable. The point isn't to avoid raising; it's to know your real position, because a default-alive company raises **from strength** (and can walk away), while a default-dead one raises under a deadline everyone can smell.

— THE QUESTIONS IT ANSWERS

- ◇ On current cash and growth, do we reach profitability in time?
- ◇ What's our true **runway** at constant expenses?
- ◇ Could we be **ramen profitable** if we had to be?
- ◇ Are we raising from **strength**, or against a cliff?

— WHAT "GOOD" LOOKS LIKE

- ✓ You know which side of the line you're on
- ✓ Runway calculated honestly, not optimistically
- ✓ A credible path to default-alive without raising
- ✓ Raising as a choice, not a rescue

— WHAT NOT TO DO — AND WHY

Letting easy capital make you default dead. Graham's warning: when money is always available, founders stop checking whether the business can stand on its own — and the number-one cause of startup death is running out of cash. Raising to cover a structurally unprofitable business doesn't fix it; it just moves the cliff and dilutes you on the way. Fix the trajectory first, then raise to accelerate it.

Patrick Connolly

— THE TEST · GRAHAM

YES → PROFIT **Default alive — raise from strength**

NO → CLIFF **Default dead — fix trajectory first**

Hold expenses constant:
does current growth reach profit?

■ AEGIS E0

Aegis modelled both paths. Default-dead on the pilot alone, but with a clear, costed route to default-alive: a handful of paid carrier contracts after the Munich Re pilot would cover the small team. That meant they could **raise to accelerate**, not to survive — and could credibly walk from a bad term sheet, the single biggest source of negotiating leverage.

TOOL 1.3 · HOW MUCH TO RAISE

How much / to raise

Don't raise “as much as you can” or “whatever they'll give.” Raise the amount that funds a clear set of milestones to your next round, plus a buffer. The number should fall out of a plan.

— WHAT IT IS

Size the round from **milestones, not appetite**. The standard framework: define what you must prove to raise your *next* round (typically **18 months** out), cost the burn to get there, add a **~30% buffer**, and work backwards to the total. Raise too little and you hit the next round without the proof points; raise too much and you over-dilute and inflate a valuation you then have to grow into. Median seed rounds cluster around **\$2–5M** but vary widely by sector and traction.

— THE QUESTIONS IT ANSWERS

- ◇ What must we **prove** to raise the next round?
- ◇ What's the **burn** to hit those milestones — plus a buffer?
- ◇ Does this give us **~18 months** of runway?
- ◇ Are we sizing to a **plan**, or to whatever's offered?

— WHAT "GOOD" LOOKS LIKE

- ✓ The amount is derived from milestones + buffer
- ✓ ~18 months of runway to the next round
- ✓ Enough to hit real proof points, not just survive
- ✓ Not so much that dilution or valuation overshoots

— WHAT NOT TO DO — AND WHY

Optimising for the headline number. Chasing the biggest possible round (or cap) feels like winning, but over-raising at a high valuation sets a bar you must clear next time — miss it and you face a painful down round. The cautionary pattern is real: founders turn down **\$3M at \$12M** holding out for more, then raise **\$1.5M at \$8M** six months later. Size to the plan; leave the ego out of the number.

Patrick Connolly

— SIZING THE ROUND · WORK BACKWARDS

Next-round milestones → Burn to get there +30% → Raise amount

Target ~18 months runway.
Seed medians ~ \$2–5M, sector-dependent.

■ AEGIS E0

Aegis sized its seed off milestones, not appetite: convert the Munich Re pilot to a paid contract, sign two more DACH carriers, and harden the compliant integration — the proof points a Series A would demand. They costed that at ~18 months of burn, added a buffer, and raised **to that number** rather than the largest cheque on the table.

LAYER 2 · ON WHAT TERMS?

The / instruments.

Capital comes in structures — and the structure decides who owns what, who controls what, and how much you keep. Founders who don't understand the instrument they're signing are routinely more diluted than they think.

The capital stack & sources

SAFEs & dilution

Non-dilutive capital

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TOOL 2.1 · THE CAPITAL STACK & SOURCES

The capital stack / & sources

Different sources fund different stages and expect different things. Knowing who funds what — and what each will want in return — saves you from pitching the wrong money for your moment.

— WHAT IT IS

Early capital comes in a rough sequence. **Founders / friends & family** and **angels** fund the earliest, riskiest work on conviction and relationships. **Accelerators** (e.g. YC) add small capital plus network and credibility. **Pre-seed and seed funds** are the first institutional money, backing team and early traction. Each later stage funds a different question: pre-seed buys the chance to find fit; seed buys the proof; Series A buys scaling a proven model. Pitch the source whose mandate matches your stage.

— THE QUESTIONS IT ANSWERS

- ◇ Which **stage** am I actually at — and who funds that stage?
- ◇ What does each source want: **conviction**, network, or proof?
- ◇ Are angels or a fund the right **first institutional** money?
- ◇ Does this investor's **mandate** match my round?

— WHAT "GOOD" LOOKS LIKE

- ✓ Sources matched to the actual stage
- ✓ Realistic about what each will expect in return
- ✓ A coherent story for why this money, now
- ✓ Not pitching Series A logic at pre-seed (or vice versa)

— WHAT NOT TO DO — AND WHY

Pitching the wrong money for your stage. Approaching a growth fund with a pre-revenue idea (or an angel with a Series-B-sized ask) wastes everyone's time and signals you don't understand the market. Worse is taking money from a source whose expectations you can't meet — a seed fund expecting Series-A metrics in a year will force premature scaling. Match the source's mandate to where you genuinely are.

Patrick Connolly

— WHO FUNDS WHAT

F&F / ANGELS	Earliest — conviction & relationships
ACCELERATOR	Small cheque + network + credibility
PRE-SEED	Buys the chance to find fit
SEED	Buys the proof of fit
SERIES A	Buys scaling a proven model

■ AEGIS E0

For its stage — strong pilot, pre-revenue — Aegis targeted **seed funds active in climate/insurtech** plus a few operator angels from the insurance world. The angels brought carrier introductions worth more than their cheques; the lead fund's mandate (first institutional, team-and-traction stage) **matched exactly where Aegis was**, so the conversations were about fit, not education.

TOOL 2.2 · SAFES & DILUTION

SAFEs / & dilution

Most early rounds are raised on SAFEs — simple to sign, easy to misread. The post-money SAFE locks in exactly how much of your company you've sold, and stacking several quietly dilutes you more than you expect.

— WHAT IT IS

A **SAFE** (Simple Agreement for Future Equity) converts to shares at your next priced round. The **post-money SAFE** is now the market standard (~90% of SAFEs) and it **guarantees the investor a fixed ownership %**: \$1M on a \$10M post-money cap = a locked 10%, no matter what else you raise in the round. The **valuation cap is not a valuation** — it's a ceiling on the price the SAFE converts at. **SAFE stacking** (several SAFEs at rising caps) is common and each tranche converts at *its own* cap, so total founder dilution is larger than any single deal suggests.

— THE QUESTIONS IT ANSWERS

- ◇ *Is this a **post-money** SAFE — and do I know the fixed % it locks?*
- ◇ *Am I treating the **cap as a valuation** (it isn't)?*
- ◇ *If I **stack** SAFEs, what's the **combined** dilution at conversion?*
- ◇ *Have I modelled the full cap table **before** signing?*

— WHAT "GOOD" LOOKS LIKE

- ✓ You know the exact ownership each SAFE locks in
- ✓ Cap understood as a ceiling, not a price tag
- ✓ Total dilution across all SAFEs modelled in advance
- ✓ Using the standard YC post-money SAFE, no odd terms

— WHAT NOT TO DO — AND WHY

Reading the cap as a valuation and ignoring stacking. A high cap feels like low dilution, but post-money SAFEs fix the investor's percentage, and several stacked SAFEs each convert at their own cap — so founders are routinely shocked at conversion by how much they've given away. Model the *combined* conversion before you sign anything, and resist

Patrick Connolly

— POST-MONEY SAFE · LOCKED %

\$1M invested on **\$10M post-money cap** = **10% locked**

Cap ≠ valuation.
Stacked SAFEs each convert at
their own cap — model the total.

■ AEGIS E0

Aegis raised its seed on a single **post-money SAFE** and modelled the conversion before signing: a clean cap, no discount stack, so all three founders could see exactly what they'd own after the Series A converted it. **Knowing the locked percentage up front** meant the eventual priced round held no nasty cap-table surprises — the dilution was the plan, not an ambush.

TOOL 2.3 · NON-DILUTIVE CAPITAL

Non-dilutive / capital

Equity isn't the only money. Grants, revenue-based financing, and venture debt can fund the business without selling more of it — in the right situations, and with real limits in the wrong ones.

— WHAT IT IS

Non-dilutive capital doesn't cost equity or control. **Grants** (e.g. government R&D programmes) are free but slow and restricted — good for research-heavy or deep-tech work. **Revenue-based financing** repays a slice of monthly revenue (often 2–10%, to a 1.5–2.0x cap) and needs existing, fairly steady revenue. **Venture debt** (typically 10–15% interest, usually alongside an equity round) extends runway 6–18 months — but it must be repaid and can carry covenants. The discipline: VC is *one* option, not the default.

— THE QUESTIONS IT ANSWERS

- ◇ Could **grants** fund the research-heavy parts without dilution?
- ◇ Do we have the steady **revenue** that RBF requires?
- ◇ Would **venture debt** extend runway — and can we repay it?
- ◇ Are we defaulting to equity when cheaper capital fits?

— WHAT "GOOD" LOOKS LIKE

- ✓ Equity treated as one option among several
- ✓ Non-dilutive sources matched to revenue and stage
- ✓ Debt taken only with a clear repayment path
- ✓ Cap table protected where it can be

— WHAT NOT TO DO — AND WHY

Treating debt like free money — or chasing grants you can't service. Venture debt is non-dilutive but it's still a loan: take it with under ~6 months' runway and you're borrowing into a wall, with covenants that can trigger at the worst moment. Grants devour months of application time and lock you to restricted uses. Non-dilutive capital is powerful where it fits and a trap where it doesn't — match it to real, predictable cash flows.

Patrick Connolly

— NON-DILUTIVE OPTIONS

GRANTS	Free; slow + restricted; R&D-heavy
RBF	% of revenue; needs steady revenue
VENTURE DEBT	Extends runway; must be repaid

Under ~6mo runway? Debt says
no or charges dearly — raise equity.

■ AEGIS EO

Aegis used a blended approach. Equity (the SAFE) funded the risky core: compliance engineering and go-to-market. But they pursued a **climate/EO research grant** for the non-commercial model R&D — **non-dilutive money for work investors are reluctant to fund** — and deferred any venture debt until they had the recurring carrier revenue to service it safely.

LAYER 3 • HOW?

Running / the raise.

A raise is a sales process with a deadline. Run it tightly to create competition, choose investors you'll want on the cap table for years, and remember the work doesn't end when the money lands — it resets.

The raise as a process

Choosing investors

After the check

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TOOL 3.1 · THE RAISE AS A PROCESS

The raise / as a process

Fundraising is not a series of coffees — it's an organised, time-boxed process designed to create competition. A raise that drags makes you look stale; a tight one makes investors move.

— WHAT IT IS

Run the raise like a sales funnel with a deadline. Prepare first (a tight **~10-slide deck** and a **data room**: deck, cap table, P&L/burn). Then **compress the process** — line up meetings in a concentrated window so interest peaks together and you **create competition** (a16z's core rule). In the first meeting, **tell a story** and prove traction; save the model and details for later meetings. DocSend's research on 200 raises found investors spend the most time on the **team and financials** slides and the least on problem/solution — and decide in about **4 minutes**.

— THE QUESTIONS IT ANSWERS

- ◇ Is my deck **tight** (~10 slides) and my data room ready first?
- ◇ Have I **time-boxed** the process to create competition?
- ◇ Does the first meeting **tell a story**, not dump the model?
- ◇ Do my deck numbers **match** my data-room numbers exactly?

— WHAT "GOOD" LOOKS LIKE

- ✓ A concentrated process, not a months-long drip
- ✓ Deck and data room prepared before the first pitch
- ✓ Story and traction first; detail on request
- ✓ Consistent numbers everywhere (deck = model)

— WHAT NOT TO DO — AND WHY

A slow, unstructured raise. Pitching investors one at a time over months lets early “no’s” compound and makes you look like you’ve been shopped around — “stale.” The other classic error: numbers that don’t reconcile (deck says \$2M ARR, model says \$1.5M) instantly erodes trust in diligence. Prepare fully, run a tight window, and keep one source of truth for every figure.

Patrick Connolly

— RUN IT LIKE A FUNNEL

Prep deck + data room



Tight window — create competition



Term sheets together

~10 slides. Team + financials get the most attention. ~4-min decisions.

■ AEGIS E0

Aegis ran a four-week process: data room ready first (pilot results, clean cap table, burn model), then ~20 stage-matched investors packed into a tight window so term-sheet interest peaked together. The first meetings led with the **Munich Re pilot story**, not the spreadsheet — and every number in the deck tied exactly to the model, so diligence found no surprises.

TOOL 3.2 · CHOOSING INVESTORS

Choosing / investors

You'll live with your investors for years — through good news and bad. Optimise for the right partners and clean terms, not just the highest valuation or the fastest cheque.

— WHAT IT IS

An investor is a multi-year relationship with influence over your company — closer to a marriage than a transaction (and it interacts directly with the *rich-vs-king* choice). Target investors **active in your sector and stage** who don't hold competing investments, and weigh what they add beyond money: introductions, expertise, follow-on capacity, and how they behave when things go wrong. Crucially, **avoid first-time investors** where you can — inexperience brings unrealistic expectations and governance friction that complicate later rounds.

— THE QUESTIONS IT ANSWERS

- ◇ Is this investor **active** in my sector and stage?
- ◇ What do they add **beyond the cheque** — and how do they behave in a downturn?
- ◇ Any **competing** investments or conflicts?
- ◇ Am I choosing for **partnership**, or just the highest number?

— WHAT "GOOD" LOOKS LIKE

- ✓ Investors matched to sector, stage, and values
- ✓ Real added value: intros, expertise, follow-on
- ✓ Experienced backers who won't complicate later rounds
- ✓ Terms and partnership weighed above headline valuation

— WHAT NOT TO DO — AND WHY

Chasing the highest valuation or the first 'yes'. The top number can come from the wrong partner — or with terms (or an inflated cap) that hurt you next round. Taking money from a first-time or misaligned investor to close fast can mean years of governance pain and a messier Series A. Valuation is one variable; the quality and experience of who's on your cap table is the one you can't easily undo.

Patrick Connolly

— WEIGH THE WHOLE OFFER

FIT	Active in your sector + stage
VALUE-ADD	Intros, expertise, follow-on
BEHAVIOUR	How they act in a downturn
AVOID	First-time / misaligned money

■ AEGIS E0

Aegis had two competing term sheets at similar caps and chose the **lower** one — because that fund had backed three insurtechs to Series B, could lead the follow-on, and made carrier introductions during diligence. The other was a first-time fund offering a higher cap. **Aegis optimised for the partner, not the number** — a decision the rich-vs-king framing had already prepared them to make.

TOOL 3.3 · AFTER THE CHECK

After / the check

The raise doesn't end when the money lands — it resets the clock. Manage burn to the milestones you raised against, keep investors informed, and remember the next round starts the day this one closes.

— WHAT IT IS

Once funded, the discipline shifts to **deploying capital against the plan you raised on**. Track **burn and runway** continuously (this is the same metrics discipline as the Business Operations toolkit) and protect the ~18-month window. Send **regular investor updates** — they build trust, surface help, and pre-sell the next round. And start the next raise early: begin conversations with **6+ months of runway left**, because raising from a position of strength (and never from a cliff) is the whole game, and markets can turn fast.

— THE QUESTIONS IT ANSWERS

- ◇ Are we spending against the **milestones we raised on**?
- ◇ Do we track **burn and runway** every month?
- ◇ Are we sending **regular investor updates** — good news and bad?
- ◇ Will we start the next raise with **6+ months** of runway left?

— WHAT "GOOD" LOOKS LIKE

- ✓ Capital deployed against the stated milestones
- ✓ Burn and runway monitored continuously
- ✓ Investors updated on a steady cadence
- ✓ Next round begun from strength, not desperation

— WHAT NOT TO DO — AND WHY

Spending to the raise, then scrambling at the cliff. A fresh balance lulls founders into premature hiring and lifestyle burn — then the next raise starts with three months of runway and visible desperation, which investors price in. Going quiet on investors until you need them is just as costly: surprises erode trust. Treat the money as fuel for specific milestones, and keep the people who funded you genuinely informed.

Patrick Connolly

— AFTER THE CLOSE

DEPLOY	Spend against stated milestones
TRACK	Burn + runway, monthly
UPDATE	Investors, steady cadence
NEXT	Start raising at 6+ mo left

■ AEGIS E0

After closing, Aegis tracked runway against the seed plan monthly and held the line on premature hiring (the People & Equity discipline). Investor updates went out on a fixed cadence — pilot conversion, the two new carriers, blockers and all. By the time the Series A approached, the lead already knew the story and Aegis still had **9 months of runway** — raising from strength, exactly as planned.

PUTTING IT TOGETHER

Raise on purpose / from strength.

Fundraising is a means, not a milestone. The three layers stack: decide honestly whether and when to raise, understand the instruments so the terms hold no surprises, then run a tight process and choose partners for the long haul. Money buys speed — it never buys a business you haven't built.

Layer 1

Whether & when

Match the raise to the opportunity. Know if you're default alive. Size to milestones, not appetite.

Layer 2

The instruments

Right source for the stage. Understand post-money SAFEs and dilution. Use non-dilutive capital where it fits.

Layer 3

Running the raise

Tight, competitive process. Choose partners over headline numbers. Then manage burn and start the next round early.

The point

From strength

A default-alive company that can walk away holds the leverage. Raise to accelerate — never to survive.

THE EVIDENCE BASE

Sources / & further reading.

This toolkit favours primary operator sources (YC, a16z, Carta) and research over generic advice, with current 2026 market data on instruments and norms. The “what not to do” guidance is drawn from documented patterns, not opinion. Aegis EO is a fictional teaching venture; the cautionary patterns (holding out for a higher cap, the stale process, spending to the cliff) are drawn from the cited sources.

Default Alive or Default Dead? (2015)

Paul Graham, Y Combinator. The profitability-on-current-cash test; ramen profitability; the danger of easy capital.

Sizing the round

YC / market practice: define 18-month milestones, cost the burn, add ~30% buffer, work backwards. Seed medians ~\$2–5M, sector-dependent.

Carta State of Pre-Seed (2025–26)

Carta. Post-money SAFEs ~90% of all SAFEs; 93% of pre-seed deals; convertible notes now niche; cap-vs-valuation and stacking dynamics.

The 16 Commandments of Raising (a16z)

Andreessen Horowitz. Run an organised, time-boxed process aimed at creating competition; avoid looking “stale.”

Pitch-deck research (DocSend / HBS)

Prof. Tom Eisenmann study of 200 raises: investors spend most time on team + financials, least on problem/solution; ~4-minute decisions.

Bootstrap vs. raise

Y Combinator (Dalton & Michael); Paul Graham essays. “Investors buy growth, not stability”; VC as a 10x commitment. Stripe, Canva as fits.

The YC post-money SAFE

Y Combinator. The standard early-stage instrument; the post-money primer on fixed ownership and SAFE-on-SAFE dilution.

Non-dilutive capital

Industry data: revenue-based financing (2–10% of revenue, 1.5–2.0x cap), venture debt (10–15%, +6–18mo runway), grants (SBIR/STTR).

The Insider’s Guide to Data Rooms (a16z)

Andreessen Horowitz. What belongs in a data room; the consistency trap (deck must match the model).

Choosing investors

YC / NYU Entrepreneurship: target active sector/stage investors; avoid first-time investors; investors are a multi-year relationship.